

TVS Motor Company Ltd | TVSMOTOR | Consumer Discretionary

'TVS Motor Company Ltd (TVSM) is engaged in manufacturing two-wheelers and its accessories

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
26.22%	13.8%	4.54%	3.83	14.19%	-2254.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	12463.0	871.0	509.0	7.0%	11.0
2018-03	16340.0	1571.0	665.0	10.0%	14.0
2019-03	20160.0	2163.0	725.0	11.0%	15.0
2020-03	18849.0	2264.0	647.0	12.0%	13.0
2021-03	19421.0	2232.0	608.0	11.0%	13.0
2022-03	24355.0	2755.0	731.0	11.0%	16.0
2023-03	31974.0	4027.0	1309.0	13.0%	28.0
2024-03	39145.0	5500.0	1779.0	14.0%	36.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	22.86%	13.8%	2.93	-2022.0	19.18%
2020-03	19.71%	11.48%	3.53	-717.0	12.94%
2021-03	15.89%	10.41%	3.18	269.0	11.29%
2022-03	16.61%	9.95%	3.6	-3046.0	14.34%
2023-03	23.78%	11.36%	4.06	-5713.0	14.37%
2024-03	26.22%	13.8%	3.83	-2254.0	14.19%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	48.0	3123.0	9298.0	16696.0
2020-03	48.0	3235.0	11591.0	19272.0
2021-03	48.0	3779.0	12179.0	21865.0
2022-03	48.0	4352.0	15827.0	26919.0
2023-03	48.0	5457.0	22376.0	35025.0
2024-03	48.0	6736.0	26006.0	42024.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	-1575.0	-1471.0	2918.0	532.0
2023-03	-4405.0	-1308.0	6118.0	406.0
2024-03	-1253.0	-1001.0	2759.0	505.0

Capital Allocation Pattern

Growth Funded by Debt

Strengths

- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Return on equity improving for 3 consecutive years shows strengthening business quality
- + Revenue growing slower than profits shows improving operating leverage and scale benefits

Concerns

- Debt-to-equity ratio of 3.8 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss